

INTERNAL — BUSINESS MODEL

LEA Executive Residency Revenue Model

How the platform makes money today, the cost basis those prices are built on, and monetization paths that exist in the product but aren't charged for yet.



Prepared from the current codebase & live pricing configuration · July 2026

REVENUE STREAM 1 OF 2

Landlord Subscription Live & automated

The core, currently-collected revenue line. Every landlord pays a recurring monthly fee, billed automatically. Pricing is **cost-plus**: a 1.8× markup on the real M-Pesa/PayHero processing cost of collecting that landlord's rent — with a flat per-tier floor so revenue never drops to zero on a quiet month.

```
monthly_fee = GREATEST(
  1.8 × SUM(payhero_fee(unit.rent_amount) for each unit),
  tier_floor(unit_count)
)
```

Tiers & current (launch-phase) floors

Tier	Units	Monthly floor
Starter	1 – 5	KES 400
Standard	6 – 15	KES 1,000
Growth	16 – 30	KES 2,000
Enterprise	31+	KES 2,000 + KES 50 / unit over 30

These floors are deliberately discounted for launch. The full, pre-launch floors below are already coded and ready to reinstate once there's a retained paying cohort — as a deliberate, announced price change, not a silent auto-increase.

Tier	Standard-phase floor
Starter	KES 1,000
Standard	KES 2,500
Growth	KES 4,500
Enterprise	KES 4,500 + KES 100 / unit over 30

How billing actually runs

A daily cron (/api/cron/billing) finds subscriptions due, pushes a renewal reminder at 7 and 3 days out, then fires an M-Pesa STK push via PayHero automatically on the due date. No manual invoicing. Failure marks the subscription *overdue* and notifies the landlord to pay manually from the dashboard.

COST BASIS

What the 1.8× markup is applied to

The markup is calculated against real Safaricom M-Pesa Paybill transaction fees per rent payment — the actual cost LEA incurs collecting that money on the landlord's behalf. This is what `payhero_fee_for_amount()` encodes today:

Transaction amount (KES)	M-Pesa fee (KES)
Under 50	0
50 – 499	6
500 – 999	10
1,000 – 1,499	15
1,500 – 2,499	20
2,500 – 3,499	25
3,500 – 4,999	30
5,000 – 7,499	40
7,500 – 9,999	45
10,000 – 14,999	50
15,000 – 19,999	55
20,000 – 34,999	80
35,000 – 49,999	105
50,000 – 149,999	130
150,000 – 249,999	160
250,000 – 349,999	195
350,000 – 549,999	230
550,000 – 749,999	275
750,000+	320

In practice, at typical Kenyan rent levels (KES 10,000–40,000), the tier **floor** — not the 1.8× markup — is what a landlord actually pays until their portfolio gets large enough for the markup to overtake it. The floor is the real price; the markup is a ceiling that protects margin as usage scales.

Featured Listings

Live, manually reconciled

A self-serve upsell on the public property marketplace: a landlord pays a flat fee to have their listing appear first in search results with a highlighted badge for a fixed window.

Duration	Price
7 days	KES 300
14 days	KES 600

Current process (not yet automated)

The landlord pays via Pochi la Biashara till and self-reports "I've Paid" in-app. A team member manually reconciles the till against the request before approving it — unlike subscriptions, there's no automatic STK push here yet. Automating this onto the same PayHero rails used for subscriptions would remove that manual reconciliation step.

ILLUSTRATIVE ONLY

Example subscription revenue at different scales

Not a forecast — LEA doesn't have real landlord-count data behind this document. This is a calculator using the live formula above, at an assumed average rent of KES 25,000/unit (falls in the KES 80/txn PayHero bracket), so you can substitute your own actual landlord and unit counts.

Landlords	Avg. units each	Tier	Monthly fee each	Total monthly
10	3	Starter	KES 400	KES 4,000
25	10	Standard	KES 1,440	KES 36,000
50	20	Growth	KES 2,880	KES 144,000
100	20	Growth	KES 2,880	KES 288,000

(Standard/Growth rows use 1.8× markup since it exceeds the floor at 10–20 units × KES 80/txn; Starter uses the floor since the markup doesn't reach it yet.)

INCLUDED, NOT SEPARATELY CHARGED

What the subscription already bundles

These features exist in the product today and currently ship free as part of the one subscription fee above — not separate line items:

- Tenant & landlord chat, community announcements/group chat
- Complaints and maintenance request tracking
- Staff management
- Policies & documents
- KYC / identity verification badge
- Tenant Wishlist reverse-matchmaking ("Pitch My Room") — SMS/push lead alerts and the evening digest to tenants
- Property listing creation & management (marketplace + portfolio view)

NOT YET BUILT OR CHARGED FOR

Monetization ideas worth considering

These are options surfaced by what already exists in the product, not commitments or a roadmap — flagging them because the groundwork (data model, matching, notifications) is already there.

Premium tenant leads idea

The wishlist/pitch matcher is currently a free lead-gen perk. Could gate to N free pitches/month with paid top-ups, or charge a small success fee when a pitched lead actually signs a lease.

Automated featured-listing billing idea

Reuse the same PayHero STK-push rails already built for subscriptions instead of manual Pochi reconciliation — removes admin overhead rather than adding revenue.

Verified-landlord badge as an upsell idea

KYC verification is currently free and only affects trust signaling on listings. Could become a paid "Verified" tier if it's shown to move tenant conversion.

Formal enterprise contracts idea

Enterprise tier is currently just a linear per-unit add-on past 30 units. Large portfolios might warrant a negotiated flat-rate contract instead.